

# Security Printing Act, 2024

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## Chapter-1

### Preliminary

1. Short Title and Commencement: (1) This Act shall be called the "Security Printing Act, 2024 (2081)."
- (2) This Act shall commence on the thirty-first day from the date of its certification. 2. Definition: Unless the subject or context otherwise requires, in this Act,-
  - (a) "Chairperson" means the Chairperson of the Board of Directors pursuant to Section 6.
  - (b) "Production Site" means the site for preparing, designing, doing pre-press work, printing or producing security printing materials, or storing printed or produced security printing materials, and said term also denotes the industry for making paper or raw materials required for security printing materials.
  - (c) "Executive Director" means the Executive Director pursuant to Section 18.
  - (d) "Office" means the Central Office of the Center, and said term also denotes an office under the Center.
  - (e) "Center" means the Security Printing Center pursuant to Section 3.
  - (f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.
  - (g) "Bank Note" means a bank note in circulation as cash.
  - (h) "Ministry" means the Ministry of Communication and Information Technology of the Government of Nepal.
  - (i) "Personalization" means the personal details of the relevant person mentioned in a citizenship certificate, passport, national identity card, or other similar types of documents or cards issued by the Government of Nepal or the concerned body of the Government of Nepal pursuant to the prevailing law, and said term also denotes the act of entering the personal details of the relevant person.
  - (j) "Board of Directors" means the Board of Directors pursuant to Section 6.
  - (k) "Member" means a member of the Board of Directors, and said term also denotes the Chairperson of the Board of Directors.
  - (l) "Security Printing" means the act of printing security printing materials with a guarantee of security by using special signs, processes, technologies, and special types of printing materials such as ink, paper, etc., in a manner that cannot be exactly reproduced by an unauthorized person.
  - (m) "Security Printing Materials" means citizenship certificate, passport, national identity card, bank note, visa sticker, postage stamp, excise sticker, driving license, or landed property registration certificate prepared for use, and said term also denotes other materials designated as security printing materials by the Government of Nepal by publishing a notice in the Nepal Gazette.

## Establishment of the Center and Its Functions, Duties, and Powers

3. Establishment of the Center: (1) A Security Printing Center is established to perform work related to the printing of security printing materials.

(2) The Central Office of the Center shall be located at a place designated by the Government of Nepal.

(3) The Center may open other offices within Nepal as required. 4.

Center to be an Autonomous and Corporate Body: (1) The Center shall be an autonomous and corporate body with perpetual succession and shall acquire a legal personality. (2) The Center, in the capacity of a legal person, shall exercise rights, perform duties, and discharge liabilities in accordance with the prevailing law. 5.

Functions, Duties, and Powers of the Center: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Center shall be as follows:- (a) To arrange and prepare security printing materials and to print security printing materials, (b) To make arrangements for reliable and trustworthy security of the printing press, production site, or ready-made security printing materials of the Center, (c) To participate in national and international bids relating to providing services related to security printing, (d) To perform other printing-related work without impeding the work of security printing, (e) To conduct or cause to conduct necessary study and research relating to security printing, (f) To obtain membership of an international professional organization relating to security printing with the approval of the Government of Nepal, and (g) To provide necessary suggestions to the Government of Nepal for formulating policies relating to making the work of security printing reliable and trustworthy. Chapter-3 Formation of the Board of Directors and Its Functions, Duties, and Powers 6.

Formation of the Board of Directors: (1) There shall be a Board of Directors as follows for the conduct, supervision, and management of all works and actions to be done on behalf of the Center:- Position Status (a) Secretary, Ministry Chairperson (b) Joint Secretary, Ministry of Finance Member (c) Joint Secretary, Ministry of Home Affairs Member (d) Joint Secretary, Ministry of Foreign Affairs Member (e) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs Member (f) Joint Secretary, Ministry of Industry, Commerce and Supplies Member (g) Two persons, including at least one woman, nominated by the Ministry from among persons who have obtained at least a post-graduate degree in Science, Management, Engineering, Commerce, or Information Technology from a recognized university and have at least five years of work experience in the relevant subject Member (h) Executive Director Member-Secretary (2) The term of office of the members pursuant to clause (g) of Sub-section (1) shall be four years. (3) Notwithstanding anything contained in Sub-section (2), if a nominated member fails to fulfill their official responsibilities or does any act contrary to the interests of the Center, the Ministry may remove them from the position. (4) Before removal pursuant to Sub-section (3), such person shall be given a reasonable opportunity to present a defense. (5) When nominating a member pursuant to clause (g) of Sub-section (1), the principle of inclusiveness shall be followed. 7. Functions, Duties, and Powers of the Board of Directors: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Board of Directors shall be as follows:- (a) To approve the policies, plans, budget, and programs of the Center, (b) To determine fees for services provided by the Center, (c) To coordinate as necessary with concerned bodies for the security of the Center, (d) To formulate and implement a code of conduct for employees working at the Center, (e) To perform policy-level work related to the monitoring, inspection, and security arrangements of the production site of security printing materials including administrative work, and (f) To conduct an updated evaluation of the work and actions performed by the Center. 8.

## Chapter-4

### Arrangements Relating to Security Printing

9. Work Relating to Government Security Printing to be Done by the Center: (1) After the commencement of this Act, all works relating to security printing, such as security printing, making or importing press machinery, instruments, or equipment relating to it, making or importing paper with watermark or security thread used in security printing, making, producing, or importing dies, plates, or equipment, or using other developed technologies relating to security printing, shall be performed by the Center.

(2) While performing the printing of materials relating to security printing pursuant to Sub-section (1), the Center shall perform the printing of materials relating to other government security printing in a manner that does not impede the work related to the printing of citizenship, national identity card, passport, bank note, excise sticker, and driving license.

(3) Notwithstanding anything contained in Sub-section (1), until the Center operates the work relating to security printing, or even if it has started operations, if the Center is unable to print any security printing material as per demand, such security printing material may be printed or caused to be printed pursuant to the prevailing law.

(4) Notwithstanding anything contained in Sub-section (1), the Government of Nepal may approve a body or institution with a majority share or ownership of the Government of Nepal to perform work related to security materials other than citizenship, national identity card, passport, bank note, excise sticker, and driving license.

(5) If a body or institution with a majority share or ownership of the Government of Nepal pursuant to Sub-section (4) also informs that it cannot perform the work of security printing as per the demand of the concerned government body, the concerned government body may, with the approval of the Government of Nepal, cause other security printing work, excluding citizenship, national identity card, passport, bank note, excise sticker, and driving license, to be done through competition with other domestic persons or institutions according to the prevailing law relating to procurement.

10. Demand and Technical Specifications to be Sent: (1) The concerned government body that issues, releases, or puts into use security printing materials shall make a demand projection of the security printing materials required for its performance for one fiscal year and send its demand and technical specifications to the Center at least six months prior to the security printing.

(2) Notwithstanding anything contained in Sub-section (1), if security printing materials are required due to a special circumstance, the concerned government body may immediately request the Center for security printing, stating the reason therefor.

11. Security Printing and Supply to be Made: After receiving the demand and technical specifications pursuant to Section 10, the Center shall, in coordination with the demanding concerned government body, perform security printing of the security printing materials and supply them as per the demand of such body.

12. Security Printing Technology, Materials, and Signs: (1) The Center may, while performing security printing, select appropriate technology, security printing materials, and signs as required. (2) The selection of technology, security printing materials, and signs pursuant to Sub-section (1) and the security printing or preparation of security printing materials shall be done by mutual agreement between the government body that requires the printing and the Center. (3) The procedure relating to the selection of security printing technology, security printing materials, and signs shall be as prescribed.

13. Information to be Given: (1) If the Center is unable to perform the security printing of any particular type of security printing material for any reason, it shall inform the concerned government body within fifteen days of receiving the demand pursuant to Section 10. (2) Upon receiving information pursuant to Sub-section (1), such government body may make

necessary arrangements relating to security printing pursuant to the prevailing law. 14. Security of Security Printing Materials, Infrastructure, and Production Site: The Government of Nepal shall, upon the request of the Center, make necessary arrangements for the security of security printing materials, infrastructure required for security printing, production site, and transportation of security printing materials. Chapter-5 Fund, Accounts, Audit, and Annual Report of the Center 15. Fund of the Center: (1) There shall be a separate Fund in the name of the Center. (2) The Fund pursuant to Sub-section (1) shall contain the following amounts:- (a) Fees received for performing security printing work, (b) Grants received from the Government of Nepal, and (c) Assistance amounts received from international organizations and institutions. (3) Prior to receiving the amount pursuant to clause (c) of Sub-section (2), the consent of the Ministry of Finance of the Government of Nepal shall be obtained. (4) All expenditures to be made on behalf of the Center shall be borne by the Fund pursuant to Sub-section (1). 16.

## Chapter-6

### Appointment of Executive Director and Functions, Duties, and Powers

18. Appointment of Executive Director: (1) The Government of Nepal shall appoint, on the basis of open competition, one Executive Director to work as the administrative chief of the Center.

(2) The term of office of the Executive Director shall be five years.

(3) There shall be a Recommendation Committee as follows to recommend names to the Government of Nepal for the appointment of the Executive Director on the basis of open competition pursuant to Sub-section (1):-

(a) Secretary, Ministry - Coordinator

(b) One expert nominated by the Ministry from among persons who have gained experience in the field of security printing - Member

(c) Joint Secretary, Ministry - Member-Secretary

(4) To recommend for appointment to the post of Executive Director, the Recommendation Committee shall publish a notice in a national daily newspaper giving a period of at least seven days for candidates fulfilling the qualifications pursuant to Section 19 to submit applications.

(5) A shortlist of eligible candidates shall be prepared from among the applications received pursuant to Sub-section (4), and such candidates shall be invited for an interview, professional work plan, and presentation thereof.

(6) From among the candidates pursuant to Sub-section (5), the Recommendation Committee shall recommend to the Government of Nepal the names of a maximum of three candidates who have obtained the highest marks from the interview, professional work plan, and presentation thereof.

(7) The Recommendation Committee shall recommend the names of eligible candidates pursuant to Sub-section (6) within one month of commencing its work.

(8) Other procedures relating to recommendation shall be as determined by the Recommendation Committee.

(9) Notwithstanding anything contained in Sub-section (2), the Government of Nepal may remove the Executive Director from the position in the following circumstances:-

- (a) If there is a lack of competence,
  - (b) If there is misconduct,
  - (c) If official duties are not performed honestly,
  - (d) If work is not done according to the performance agreement,
  - (e) If the confidentiality of security printing materials prepared or being prepared by the Center is breached,
  - (f) If information relating to security printing is made available to unauthorized persons or information is leaked,
  - (g) If any act is done contrary to the interests of the Government of Nepal or the Center, or
  - (h) If unable to perform duties due to mental or physical incapacity.
- (10) Before removing the Executive Director from the position pursuant to Sub-section (9), a reasonable opportunity to present a defense shall be given.
- (11) Notwithstanding anything contained elsewhere in this Section, if the Executive Director is under suspension due to a corruption case filed pursuant to the prevailing law and is unable to perform duties for more than three months, the Government of Nepal may, on the recommendation of the Committee pursuant to Sub-section (3), appoint another Executive Director for the remaining period.

19. Qualifications of the Executive Director: A person fulfilling the following qualifications shall be eligible to be a candidate for the post of Executive Director:-

- (a) A Nepali citizen who has completed at least thirty years of age,
  - (b) Having obtained a post-graduate degree in Computer Engineering, Electrical Engineering, Electronics Engineering, Mechanical Engineering, Information Technology, or Management from a recognized university,
  - (c) Having gained at least five years of experience at the managerial level,
  - (d) Not having been dismissed from government service or service of an institution wholly or partly owned by the Government of Nepal, a Provincial Government, or a Local Level in a manner rendering one disqualified for such service in the future,
  - (e) Not having been punished by a court for corruption, rape, gender-based violence, human trafficking and transportation, narcotic drugs, money laundering, passport misuse, kidnapping, organized crime, or other criminal offenses involving moral turpitude, and
  - (f) Not having taken permanent residency permit or citizenship of any foreign country.
20. Vacancy of the Post of Executive Director: The post of the Executive Director shall be deemed vacant in the following circumstances:-

- (a) Upon submission of resignation to the Government of Nepal,
- (b) Upon completion of the term of office,
- (c) Upon completion of sixty years of age,
- (d) Upon removal from the position pursuant to Sub-section (9) of Section 18,

(e) If the qualifications pursuant to Section 19 are not met, or

(f) Upon death. 21.

Functions, Duties, and Powers of the Executive Director: The functions, duties, and powers of the Executive Director shall be as follows:- (a) To formulate policies, plans, programs, and annual budget of the Center and submit them to the Board of Directors for approval, (b) To implement or cause to implement policies, plans, and programs approved by the Board of Directors, (c) To coordinate with other bodies regarding the work and actions of the Center, (d) To implement or cause to implement decisions of the Board of Directors, (e) To prepare the annual report of the Center including other reports and submit them to the Board of Directors, (f) To monitor or cause to monitor the work performed by the Center, (g) To make necessary arrangements for the external and internal security of the production site of security printing materials, (h) To cause to maintain accurate records of each security printing material produced, in storage, or transferred to the concerned body, (i) To submit to the Committee the matter regarding determination of fees for security printing materials for which printing orders have been received, (j) To perform or cause to perform work relating to production, storage, transportation, transfer, and archiving of security printing materials, and (k) To perform work delegated by the Board of Directors. 22. Performance Agreement to be Made: (1) The Executive Director shall make a performance agreement with the Secretary of the Ministry. (2) The performance agreement shall include measurable conditions for the work of the Executive Director. 23. Remuneration and Other Facilities of the Executive Director: The Executive Director shall receive remuneration and other facilities as determined by the Government of Nepal. 24. Not to Work Elsewhere: The Executive Director shall not engage in any kind of employment elsewhere, or perform work providing service as a consultant, advisor, expert, or in any capacity in a manner that yields economic benefit or any facility. 25. Employees of the Center: (1) The Center may appoint employees according to the posts approved by the Ministry for conducting its work and actions. (2) The appointment, terms of service, remuneration, and other facilities of employees pursuant to Sub-section (1) shall be as prescribed. (3) Notwithstanding anything contained in Sub-section (1), until employees of its own are appointed in the Center, or upon the request of the Center, the Government of Nepal may depute employees from the Government of Nepal or any public institution with a majority ownership of the Government of Nepal to work at the Center, receiving salary and allowances from the Center itself. 26.

Approval to be Obtained: (1) The Center shall obtain prior approval of the Ministry to import presses, machinery, instruments, or equipment relating to security printing as prescribed. (2) The procedure relating to providing prior approval pursuant to Sub-section (1) shall be as prescribed. Chapter-7 Offenses and Penalties 27. Not to Perform Work Relating to Security Printing: (1) No one other than the Center shall perform work relating to security printing, including printing security printing materials, making or importing presses, machinery, instruments, or equipment relating thereto, without obtaining approval pursuant to Sub-section (4) or (5) of Section 9. (2) If anyone prints security printing materials in contravention of Sub-section (1), such materials shall be confiscated, and depending on the gravity of the offense, the following penalty and fine shall be imposed:- (a) Citizenship certificate, national identity card, or passport Imprisonment for up to twelve years and a fine from five hundred thousand to one million rupees, (b) Bank note Imprisonment for up to twelve years and a fine according to the loss if the loss is known, and a fine up to one million five hundred thousand rupees if the loss is unknown, (c) Postage stamp Imprisonment for up to seven years and a fine according to the loss if the loss is known, and a fine up to seven hundred thousand rupees if the loss is unknown, (d) Excise sticker Imprisonment for up to five years and a fine according to the loss if the loss is known, and a fine up to five hundred thousand rupees if the loss is unknown, (e) If other security printing

materials, except those mentioned in clauses (a), (b), (c), and (d), are printed Imprisonment for up to three years and a fine according to the loss if the loss is known, and a fine up to five hundred thousand rupees if the loss is unknown. (3) If anyone makes or imports presses, machinery, instruments, or equipment pursuant to Sub-section (1) in contravention of that Sub-section, such presses, machinery, instruments, or equipment shall be confiscated, and the penalty shall be imprisonment for up to two years or a fine up to two hundred thousand rupees or both. 28.

Not to Make or Import Paper with Watermark or Security Thread: (1) No one other than the Center shall make or import paper with a watermark or security thread bearing signs or letters used or being used by the Center for security printing. (2) If anyone makes or imports paper with a watermark or security thread in contravention of Sub-section (1), such paper shall be confiscated, and the penalty shall be imprisonment for up to three years or a fine up to three hundred thousand rupees or both. 29. Not to Make or Import Dies, Plates, or Equipment: (1) No one shall make or import dies, plates, or equipment relating thereto for the purpose of printing in a manner resembling security printing done by the Center. (2) If anyone makes or imports dies, plates, or equipment relating thereto for preparing such materials in contravention of Sub-section (1), such materials shall be confiscated, and the penalty shall be imprisonment for up to three years or a fine up to three hundred thousand rupees or both. 30. Not to Print in Excess of Demand: (1) While performing security printing pursuant to Section 11, printing of security printing materials in excess of the demand of the concerned government body shall not be done. (2) Notwithstanding anything contained in Sub-section (1), if printing in excess of demand occurs for sample testing or due to technical error, such excess security printing materials shall be immediately destroyed upon preparing a panchnama. (3) If security printing materials are printed in excess of the demand of the concerned government body contrary to Sub-section (1) or (2), or if excess security printing materials are not destroyed, the responsible official or employee shall be penalized according to Sub-section (2) of Section 27. 31. Not to Breach Confidentiality: (1) No one shall provide information about the technical specifications of security printing materials or breach related confidentiality to anyone other than the authority specified by law. (2) If anyone provides information about the technical specifications of security printing materials or breaches confidentiality in contravention of Sub-section (1), the penalty shall be imprisonment for up to three years or a fine up to three hundred thousand rupees or both. (3) If the confidentiality of personal details used during the course of security printing pursuant to this Act is breached or if information is mala fide provided to anyone, the penalty shall be according to the prevailing law relating to confidentiality. 32.

Not to Take Outside Premises in an Unauthorized Manner: (1) Except in cases where there is a written order of an authorized officer, no one shall take security printing materials outside the production site, printing press, or storage location of the Center in an unauthorized manner. (2) If anyone takes security printing materials outside the production site, printing press, or storage location of the Center in an unauthorized manner in contravention of Sub-section (1), such person shall be liable to imprisonment for up to three years or if the loss of such materials is known, recovery of the loss and a fine according to the loss, or both; and if the loss is unknown, imprisonment for up to three years or a fine up to three hundred thousand rupees, or both. 33. Not to Take Unpersonalized Blank Security Printing Materials Out in an Unauthorized Manner: (1) No one shall take unpersonalized blank security printing materials out of the production site, printing press, or storage location of the Center in an unauthorized manner. (2) If anyone takes unpersonalized blank security printing materials out of the production site, printing press, or storage location of the Center in an unauthorized manner in contravention of Sub-section (1), such person shall be liable to imprisonment for up to one year or if the loss of such materials is known, recovery of the loss and a fine according to the loss, or both; and if the loss is unknown, imprisonment for up to one year or a fine up to one hundred thousand

rupees, or both. 34. Not to Hand Over Personalized Security Printing Materials to Unauthorized Persons: (1) No one shall hand over personalized security printing materials at the Center to an unauthorized person. (2) If anyone hands over personalized security printing materials to an unauthorized person in contravention of Sub-section (1), such person shall be liable to imprisonment for up to one year or if the loss of such materials is known, recovery of the loss and a fine according to the loss, or both; and if the loss is unknown, imprisonment for up to one year or a fine up to one hundred thousand rupees, or both. 35. Penalty for Repeat Offense: If a person who has been punished for an offense punishable under this Act commits an offense under this Act again, such person shall, in addition to the penalty for the relevant offense, be liable to an additional fifty percent penalty. 36.

Government of Nepal to be the Plaintiff: Cases punishable under this Chapter shall be initiated with the Government of Nepal as the plaintiff, and such case shall be deemed to be included in Schedule-1 of the National Criminal Procedure Code, 2017 (2074). Chapter-8 Miscellaneous 37. May Establish Industry: The Center may, with the approval of the Ministry, establish industries to produce raw materials including paper, thread, and chemicals required for printing security printing materials. 38. Delegation of Power: The Board of Directors may, as required, delegate some of the powers vested in it under this Act or rules made under this Act to the Chairperson, a Member, or the Executive Director. 39. Restriction on Exploitation of Vested Personal Interest: (1) If a Member has any direct or indirect business interest of their own or of their family member or close relative in the work and actions of the Center, such Member shall inform the Board of Directors about that matter. (2) While any proposal in which a Member has a personal interest is being discussed in the Board of Directors, such Member shall not be allowed to participate. Explanation: For the purpose of this Section, "relative" means the Member's husband, wife, son, daughter, father, mother, step-mother, grandfather, grandmother, mother-in-law, father-in-law, elder brother, younger brother, elder sister, younger sister, sister-in-law (bhaauju), daughter-in-law, elder brother of husband (jethaaju), younger brother of husband (devar), wife of elder brother of husband (jethaani), wife of younger brother of husband (deuraani), aunt (aamaaju), husband's sister (nanda), uncle (kaka), aunt (kaki), paternal great-grandfather (thulobuba), paternal great-grandmother (thuli aama), paternal uncle (sanobuba), paternal aunt (sani aama), nephew (bhatija), niece (bhatiji), nephew (bhanja), niece (bhanji), brother-in-law (bhinaju), son-in-law (jwain), maternal uncle (mama), maternal aunt (maiju), paternal aunt (phupu), paternal uncle (phupaju), wife's brother (sala), wife's sister (sali), husband of wife's sister (jethan), husband's elder sister's husband (sadhudai), husband's younger sister's husband (sadhubhai), their wives and children. 40. No Bar to Penalty According to Prevailing Law: (1) If any act that constitutes an offense under this Act also constitutes an offense under any other prevailing law, this Act shall not be deemed to prevent separate proceedings and penalty for such offense.

Provided that, Provided that multiple cases shall not be filed and multiple penalties shall not be imposed for the same offense. (2) If an employee working at the Center commits an offense punishable under this Act, such employee shall also be subject to departmental action according to the law relating to service. 41. Deemed Included in Essential Service: The work performed by the Center shall be deemed to be included in the list of essential services pursuant to the prevailing law. 42. Contact with the Government of Nepal: The Center shall contact the Government of Nepal through the Ministry. 43. May Obtain Assistance: The Center may, with the approval of the Government of Nepal, obtain necessary assistance from foreign governments or international organizations or institutions regarding machinery, tools, instruments, equipment, and technology relating to security printing, and expertise. 44. May Make Rules: (1) The Government of Nepal may make rules to implement this Act. (2) Without prejudice to the generality of Sub-section (1), rules may be made on the following subjects:- (a) Relating to terms of service and facilities of employees, (b) Relating to



financial administration, (c) Relating to security printing, (d) Relating to operation of the Fund, and (e) Subjects to be included in the annual report. 45. May Make Regulations or Procedures: (1) Subject to this Act and rules made under this Act, the Center may, as required, make necessary regulations relating to the remuneration, terms of service, and facilities of the Executive Director and employees of the Center, and the operation of the Center's work. (2) Subject to this Act and rules made under this Act, the Center may, as required, make necessary procedures to systematize the work relating to security printing performed by the Center. (3) While making regulations pursuant to Sub-section (1), if it imposes additional financial liability on the Government of Nepal, prior approval of the Ministry of Finance of the Government of Nepal shall be obtained. 46. Review of Act Implementation: Within one year of the completion of five years from the date of commencement of this Act, and thereafter within one year of the completion of every five years, the Ministry shall review the implementation of the Act, and submit a report thereof to the relevant committee of both houses of the Federal Parliament. 47.